

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Kim residing in Country S is the sole shareholder of Kim Pte Limited, a pure investment holding company incorporated in Country S that does not have a double taxation agreement with Hong Kong. Kim Pte Limited has a wholly owned subsidiary K Limited, a Hong Kong incorporated company carrying on a business in Hong Kong in the following manner:

1. K Limited rented an office in Hong Kong with three full time staff members serving as office manager, business manager, and IT technician. The office manager and IT technician are based in Hong Kong, whilst the business manager is a business traveller (see below).
2. K Limited's business involves licensing copyrights of novels written by non-resident authors from all over the world, digitalising the novels in the form of e-books, and storing the e-books on a website for download by readers who are individuals residing all over the world for a fixed fee (for each download) after membership registration.
3. Readers are only allowed to download copy onto their computers and read the e-books on their own computers registered with K Limited. They are not allowed to modify the e-books or distribute the e-books to any other readers.
4. The website is hosted on a dedicated server at the disposal of and owned by K Limited only, and the server is located in a third party data centre in Country S. K Limited does not have any other form of physical presence in Country S.
5. All tasks from membership registration, ordering of e-books, payment, downloading of e-books, and customer service, are fully automated by the website hosted on the above Country S server without any human intervention needed. The IT technician nonetheless will digitalize the content in e-book format, update the e-book database and perform routine system updates of the server remotely from Hong Kong.
6. The business manager travels overseas from time to time, attending book exhibition events with the purpose of meeting new authors. After the initial encounter, the authors are invited to come to K Limited's Hong Kong office for a formal interview and for the negotiation, conclusion, and execution of a licensing contract.
7. The office manager handles daily office work including administration, accounting and bookkeeping, bank account operation, etc.

Below is K Limited's income statement for the financial year ended 31 December 2024:

	HK\$	HK\$
Download fee income from readers (Note 1)		10,000,000
Sub-license fee income from Tao Limited (Note 2)		<u>2,000,000</u>
		12,000,000
Expense:		
Salaries	2,200,000	
Office rent and administrative expenses	800,000	
License fees to authors (Note 3)	3,860,000	
Withholding tax (Note 4)	<u>140,000</u>	
		<u>(7,000,000)</u>
Profit before tax		<u><u>5,000,000</u></u>

Note 1: This is the gross income from readers without any deduction of fees, expenses and tax.

Note 2: Tao Limited is a company tax resident in mainland China, which sub-licenses the copyrights of novels from K Limited to publish paperback editions of the novels for sale to readers in mainland China. This is the gross amount billed to Tao Limited without any deduction of fees, expenses and tax. The sub-licensing contracts were negotiated, concluded and executed by the business manager in Hong Kong.

Note 3: License fees are paid annually to unrelated authors based on a pre-agreed fixed amount for the annual right to use the copyright on their writings.

Note 4: This is the 7% withholding tax deducted by Tao Limited in mainland China from the gross sub-license fee income billed by K Limited.

For cost control reason, the following business restructuring measures have been implemented from 1 January 2025:

- (a) The employment contracts for the business manager, office manager and IT technician, together with the office lease, have been terminated. Bookkeeping and accounting functions have been outsourced to the parent company Kim Pte Limited, in Country S, for an annual fee of HK\$8,000,000. Kim Pte Limited has no employee in Country S and hence the work has been further outsourced to a local accounting firm in Country S. K Limited no longer maintains any physical presence in Hong Kong except for a server (see below).
- (b) No further updates and routine maintenance are conducted for the e-book database, operating system, and website. Nonetheless, the website operates as normal, earning the same income as that for the financial year 2024.
- (c) K Limited's bank account is operated by Kim remotely from Country S.
- (d) The website has been relocated and hosted on a dedicated server owned by and at the disposal of K Limited, located in a data centre in Hong Kong.

As K Limited no longer maintains an operational team in Hong Kong, Kim has reached out to your firm for ongoing tax compliance service.

You are the manager-in-charge of a professional firm assigned to look after this tax compliance engagement pursuit. While reviewing the historical tax filings of K Limited, you notice that no tax reporting and withholding was ever made for the license fees paid to non-resident authors for all past years.

When you notified Kim of this finding, he appeared to be reluctant to rectify this incident for fear of penalty and the fact that K Limited's operation in Hong Kong has been substantially reduced post restructuring.

Question 1 (14 marks – approximately 25 minutes)

Before 1 January 2025 (i.e. for the original full scope Hong Kong business model):

- (a) Determine the nature (i.e. business income vs royalty) of the download fee income and sub-license fee income under Hong Kong profits tax in light of the Inland Revenue Department ("IRD")'s assessing practice.

(6 marks)

- (b) Based on your answer in (a) above, evaluate the source of the download fee income and sub-license fee income under Hong Kong profits tax in light of the IRD's assessing practice and case law.

(8 marks)

Question 2 (12 marks – approximately 22 minutes)

Regarding the withholding tax of HK\$140,000 paid in mainland China:

- (a) Advise whether it is deductible in computing the assessable profits of K Limited under s.16(1) of the Inland Revenue Ordinance ("IRO").

Note: Further discussion on the application of subsections (a) to (h) of s.16(1) of the IRO is not required.

(4 marks)

- (b) Explain how K Limited can obtain tax relief in Hong Kong for such withholding tax paid under the provisions of the double taxation agreement between Hong Kong and mainland China.

Compute the profits tax liability of K Limited at the normal tax rate of 16.5% for the year of assessment 2024/25, taking into account the tax relief you discussed above.

Note: You should (1) assume there is no capital expenditure included in K Limited's operating expenses; (2) assume expense attributable to the earning of the sub-license fee income is HK\$1,200,000; and (3) ignore the Two-tiered Profits Tax Rates Regime and tax reduction.

(8 marks)

Question 3 (16 marks – approximately 29 minutes)

- (a) Analyse whether K Limited will be carrying on a business in Hong Kong after the business restructuring in light of the provisions in the IRO, case law, and the IRD's assessing practice.
(6 marks)
- (b) Assuming K Limited's business profit post restructuring is subject to profits tax in Hong Kong and corporate income tax in Country S, advise whether the corporate income tax paid in Country S is deductible under s.16(1)(ca) of the IRO in computing the assessable profits of K Limited.
(4 marks)
- (c) Justify the quantum and tax deductibility of the annual fee to Kim Pte Limited from a transfer pricing perspective and suggest a transfer pricing methodology that is appropriate given the circumstances.
(6 marks)

Question 4 (8 marks – approximately 14 minutes)

- (a) With respect to the findings on historical tax filings, outline the correct tax compliance procedures that K Limited should have taken in prior years.
(4 marks)
- (b) Outline the issues you will draw to your Partner's attention in relation to the acceptance of this tax engagement.
(4 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (12 marks – approximately 21 minutes)

YEAH Limited ("the Company") was incorporated in the Cayman Islands and was registered in Hong Kong as a non-Hong Kong company under the Companies Ordinance. The particulars of information of the Company are as follows:

- (1) Its shares are listed on the Hong Kong Stock Exchange ("HKEX") to raise funds from the capital market in Hong Kong, and to invest in the business units in Singapore and in mainland China.
- (2) Its principal activities are investment holdings with investments in Singapore and in mainland China.
- (3) It maintains its Branch Share Registrar and Transfer Office in Hong Kong.
- (4) In its annual report for the year ended 31 March 2023, the Company stated that its principal place of business was Address D in Hong Kong and its head office was in mainland China.
- (5) Its financial statements were audited by a certified public accountant in Hong Kong. It maintains bank accounts in Hong Kong and in mainland China.
- (6) The Hong Kong Office is rented and used to maintain books and records of the Company and for coordination with HKEX.
- (7) It employs a compliance manager, company secretary and secretary to work at Address D.
- (8) The board of directors are made up of Hong Kong residents and non-Hong Kong residents.

The Company appointed Mr Chen as an independent non-executive director who received a director fee of HK\$3,000,000 for the year of assessment 2022/23. Mr Chen is a mainland Chinese resident and stayed in Hong Kong for 10 days during the year of assessment 2022/23. Mr Chen attended the director's meetings of the Company held in Hong Kong via tele-conferencing. He claimed that he did not render any services for the Company when he stayed in Hong Kong.

Required:

Assume that you are Kitty Wong, the tax advisor of Mr Chen. With reference to the relevant IRO provisions and legal principles, write an email to Mr Chen to give advice on the following:

- **the source of income from office;**
- **whether the director fee received by Mr Chen from the Company is chargeable to salaries tax in Hong Kong; and**
- **relevance of s.8(1A)(b) of the IRO in the present case.**

Note: A maximum of 2 marks for communication skills and 2 marks for analytical skills will be awarded.

(12 marks)

Question 6 (23 marks – approximately 42 minutes)

Mr Poon and Mrs Poon ("the Couple") are husband and wife. The following information is provided by them for the year ended 31 March 2024:

- (1) The Couple, as joint tenants, purchased a residential property ("Flat S") and borrowed a mortgage loan from a bank to finance the acquisition. Thereafter, they resided at Flat S until 30 September 2023. They paid mortgage loan interest of HK\$80,000 for the period from 1 April 2023 till 30 September 2023.
- (2) On 1 October 2023, the Couple sold Flat S and entered into a tenancy to lease a residential property with a monthly rent of HK\$16,000 for the period from 1 October 2023 to 30 September 2024. The tenancy agreement was properly stamped. The Couple agreed that they should claim the rent paid in equal shares.
- (3) Mr Poon is employed as a finance manager in Hong Kong. His salaries income for the year ended 31 March 2024 was HK\$910,000. During the year, he donated HK\$30,000 to approved charitable donations. He also contributed HK\$18,000 to a recognised mandatory provident fund ("MPF") scheme and made voluntary contributions of HK\$24,000 to a tax deductible MPF scheme.
- (4) Mr Poon had been constantly living with his father for many years. Unfortunately, his father passed away on 15 February 2024 at the age of 80. Mr Poon's mother was 75 years old and lived in an elderly residential care home. Mr Poon incurred residential care expenses of HK\$120,000 for the year ended 31 March 2024.
- (5) Mrs Poon is a primary school teacher. Her salaries income and contributions to a recognised MPF scheme were HK\$720,000 and HK\$18,000 respectively for the year ended 31 March 2024.
- (6) Mrs Poon and Mrs Poon's sister purchased a Voluntary Health Insurance Scheme policy for their father. They paid as the policy holders and a qualifying premium of HK\$10,000 was paid by Mrs Poon and Mrs Poon's sister in the proportion of 7 to 3.

Required:

- (a) **Analyse, with reference to the relevant provisions of the IRO and legal principles, whether the following items could be deducted under salaries tax for Mr Poon and Mrs Poon for the year of assessment 2023/24, and, if so, the amount of deduction allowable:**
 - (i) **Mrs Poon has been diagnosed with breast cancer and incurred medical expenses of HK\$200,000 for the treatments for the year ended 31 March 2024. She would like to claim deduction of the medical expenses as she claims that she could not perform her duties at her primary school without receiving the treatments.**

(3 marks)

- (ii) **Mr Poon and Mr Poon's mother purchased a qualifying deferred annuity policy as joint policy holders. Mr Poon was the sole annuitant, and a qualifying annuity premium of HK\$60,000 was paid by him on 1 July 2023.**

(2 marks)

- (b) Assume the Couple chooses not to elect for joint assessment. Taking into account all the information listed above, compute the salaries tax liabilities for the year of assessment 2023/24 in respect of:

(i) Mr Poon; and

(5 marks)

(ii) Mrs Poon.

(4 marks)

Ignore provisional tax.

- (c) Mr Poon is the sole owner of a car parking space for many years and has leased it out to generate rental income. During the year of assessment 2023/24, he received rental income of HK\$5,000 per month, paid rates of HK\$800 per quarter and incurred mortgage loan interest of HK\$17,000.

Compute the property tax liability of Mr Poon for the year of assessment 2023/24. Ignore provisional tax.

(2 marks)

- (d) Mr Poon elected for personal assessment separately from Mrs Poon. Taking into account all the information listed above, compute the tax liability of Mr Poon under personal assessment for the year of assessment 2023/24. Also analyse whether it is advantageous for him to elect for personal assessment. Ignore provisional tax.

(4 marks)

- (e) The Couple planned to migrate to Canada. Advise their tax obligations when they were about to leave Hong Kong in July 2024.

(3 marks)

Question 7 (15 marks – approximately 27 minutes)

Required:

With reference to the practice notes and relevant provisions of the Stamp Duty Ordinance, analyse and compute the Hong Kong stamp duty payable in the following circumstances:

Note: Analysis and calculation of Special Stamp Duty and Buyer's Stamp Duty are not required.

- (a) ABC Limited rented a shop in a shopping mall to sell jewellery products by executing a lease with the following terms and conditions:

Term of lease:	3 years from 1 January 2023	
Rent free period:	1 January 2023 to 31 January 2023	
Rent:	(i)	fixed monthly rent of HK\$80,000; and
	(ii)	variable rent at 10% of monthly turnover of ABC Limited derived from the shop premises, capped at HK\$300,000 per month.
Premium:	HK\$200,000 payable to landlord upon execution of the lease.	

(4 marks)

- (b) Sky Limited owes Forest Limited a debt of HK\$15 million. In view of the poor cash flow position of Sky Limited, Sky Limited and Forest Limited have agreed that the debt will be fully settled by transferring a portfolio of securities listed on the Hong Kong Stock Exchange ("the Shares") held by Sky Limited to Forest Limited.

The market value of the Shares as at the date of the transfer is HK\$14 million.

(4 marks)

- (c) On 1 April 2023, Mr Lam signed a provisional agreement for sale and purchase to purchase a residential property ("the Flat") from a vendor at a consideration of HK\$6,000,000. On the same date, Mrs Lam, the spouse of Mr Lam, also signed a provisional agreement for sale and purchase to purchase a car parking space in the same estate ("the CPS") from the same vendor at a consideration of HK\$800,000. The two provisional agreements of sale and purchase ("the PASPs") of the Flat and the CPS both contained a clause stating that *"The sale and purchase of the Flat and the CPS shall be completed simultaneously and the parties hereto shall not be entitled to the sale and purchase of the Flat and the CPS separately"*. The assignments of the Flat and the CPS were subsequently executed on 1 July 2023.

Both Mr Lam and Mrs Lam were Hong Kong permanent residents and were not beneficial owners of any other residential properties in Hong Kong on the date of the PASPs.

Note: Assume the market value of the Flat and the CPS on the date of the PASPs is the same as the stated consideration.

(7 marks)

* * * END OF EXAMINATION PAPER * * *